TELLICO VILLAGE POA

OBJECTIVE OBSERVER REPORT

March Town Hall (March 16, 2026) & Board Meeting (March 18, 2026)

Prepared for Community Distribution

EXECUTIVE SUMMARY

This report examines the proceedings of the Tellico Village POA Town Hall (March 16) and Board Meeting (March 18, 2026). After careful review of both transcripts, an objective observer identifies five primary areas of concern: (1) systematic opacity around the general manager search process; (2) board self-contradiction on the nature and scope of the search; (3) over-broad use of confidentiality claims to deflect legitimate questions; (4) an unaddressed online question about reserve fund use; and (5) several instances of rhetorical maneuvering that avoided substantive answers. Positive governance practices are also noted for balance.

CONCERN 1: THE GENERAL MANAGER SEARCH — OPACITY AND SHIFTING EXPLANATIONS

This was by far the most substantive and troubling topic across both meetings. Property owners raised pointed and well-reasoned questions about the GM search process; the board's responses were inconsistent, evasive, and — in one important instance — self-contradictory.

1a. The Board Simultaneously Claims and Denies Being in Contract Negotiations

One of the most striking moments in the Town Hall came at approximately 1:49–1:52. A resident named Glenda challenged the board's use of 'contract negotiations' as the shield for confidentiality. Board president Lackey had stated earlier that the board was in contract negotiations — then appeared to walk that back:

> *"We are We still haven't defined it. We don't know who we're writing a contract with. That's what we're trying to understand."*

[Town Hall ~1:49]

Yet earlier in the same meeting, the same Lackey and board member David had repeatedly cited ongoing 'contract negotiations' as the reason they could not answer questions:

> *"Not at this time. It's still in contract negotiations."*

[Town Hall ~1:15]

This is a significant inconsistency. 'Contract negotiations' is one of the four specific categories of confidential information under Article 4, Section 6 of the bylaws — and multiple board members

cited it as their authority for refusing to answer questions. When pressed, the president then admitted they were not actually in contract negotiations yet. If that is true, then the confidentiality shield they repeatedly deployed was being used prematurely and arguably inappropriately.

1b. The Board Cannot Explain Its Own Three-Step Process Consistently

Board members David and Joel attempted to explain the process at length during the Town Hall (~1:16–1:33). They described a three-stage plan: (1) hire a consulting/advisory firm with an interim executive leader (IEL) to benchmark the village; (2) design a GM search; (3) conduct the search. However, this framework was subsequently contradicted by Lackey, who offered a simpler version:

> *"Step one is we're going to determine who we want to hear as an interim executive leader. They're not just doing benchmarking. They're actually going to be leading the village."*
>
> **[Town Hall ~1:32]**

The two descriptions are not the same. David described the IEL as primarily a coordinator of the benchmarking exercise answering to the board. Lackey described the IEL as 'leading the village.' These represent meaningfully different scopes of authority and community exposure. The board did not reconcile these differing characterizations, and a resident (Nancy Mariani, ~2:09) was left confused — understandably — about exactly who would have authority and to what degree.

This confusion persisted into the Board Meeting (March 18), where multiple residents again struggled to extract a coherent answer about the firm's role and the IEL's authority. Resident Linda Garza raised the specific concern (~21:00–25:00) that the title of 'General Manager' could convey executive authority under the bylaws even to an interim, and asked whether the IEL would be empowered to restructure staff or operations before the permanent GM search was complete. Lackey's answer ('if it's something significant, it'll come before the board') is reassuring, but is not a formal governance commitment, and relies entirely on good faith.

1c. Refusal to Share Selection Criteria — Questionable Justification

Multiple residents — including Gary Norgren (~1:23) and Glenda (~1:49) — pressed the board specifically on whether it would share the evaluation rubric (the weighted criteria) it would use to select the advisory firm. This is not a request to reveal the names of firms or the contents of bids. It is a request to know what qualities the board considers important in a firm — a policy question, not a procurement secret.

Board member David gave two different explanations for refusing. First, he said sharing criteria would allow firms to 'tailor their response to what we're looking for — like showing your cards at a poker table':

> *"If we gave our criteria out they would tailor their response to what we're looking for and it's like showing your cards at a poker table."*
>
> **[Town Hall ~2:07]**

This is a common procurement argument — but it applies when bids are still being solicited. If the board was actively interviewing firms, publishing the rubric could indeed give an unfair advantage to firms not yet interviewed. However, Lackey had just said they were NOT yet in

contract negotiations, suggesting the process is still early enough that transparency might not create the harm David described.

Second, David stated the board must determine what is and is not confidential, and that no one else has that authority:

> *"There is a short answer to that question and it's a fundamental one. It is the board that has to decide what is one of those four things in the bylaws."*
>
> **[Town Hall ~1:52]**

This is a troubling governance claim. The board asserting sole authority to determine what qualifies as confidential — with no independent check — creates an unconstrained shield. Anything can be declared confidential at board discretion, and property owners would have no recourse. Lackey did offer one concession: 'After we made the selection, we can share how and why we made the selection to the public.' This is a positive commitment but came only after sustained pressure.

1d. The 'Golf Management Company' Rumor — Evasion vs. Denial

Resident Gary Norgren opened the Town Hall Q&A session (~1:10) reporting that community members had been told the board was interviewing golf management companies — not executive search firms. Board liaison Carrie Brown had confirmed this to him. Norgren asked the board to explain why.

The board's response was revealing:

> *"I can't talk about that. It's in contractual negotiations. There's legal ramifications and personnel ramifications. I can't address that at this time."*
>
> **[Town Hall ~1:13, Lackey]**

Later, Lackey explicitly stated: 'you keep bringing up golf management company... you didn't hear me say we're hiring golf management companies.' But the board also never clearly denied that golf management companies were among the firms being contacted — it simply refused to confirm or deny. The distinction matters. The board is not obligated to disclose which firms are being contacted. But when a community member says 'I have been told you are interviewing golf management firms, and this concerns me because of what golf management company contracts typically entail,' the appropriate response is either a direct denial or an explanation of why the concern is misplaced. Neither was offered.

Norgren also raised the important conflict-of-interest concern (~1:24): if a golf management company is asked to benchmark the village and make recommendations, should that company be disqualified from subsequently becoming the village's management company? This is a valid governance question. It was not answered.

1e. 'Mom and Pop' Characterization — Rhetorical Overreach

At approximately 1:55, Lackey made the following statement in response to a question about the village's lack of existing benchmarking data:

> *"This place has been run like a mom and pop candy store."*
>
> **[Town Hall ~1:55]**

This is a sweeping and unflattering characterization of the management and governance of Tellico Village going back many years — delivered in a public forum, on video. While some

operational deficiencies are real and acknowledged by longtime board members, the comment reflects poorly on the institution and on former employees and volunteers who served in good faith. It also serves to lower the rhetorical bar: if the status quo is a 'mom and pop candy store,' almost any change can be framed as an improvement. An objective observer notes this kind of rhetoric is sometimes used to pre-justify dramatic, opaque, or costly institutional changes.

CONCERN 2: FINANCIAL TRANSPARENCY — REMOVED FROM BOARD MEETING AGENDA

At the Board Meeting (~1:05), an online question was submitted by Jeff Brown of Toqua asking two things: (1) Why are financials no longer being presented at board meetings, and (2) Has the outside audit firm weighed in on using reserve funds for operational expenses?

Lackey's response to the first question:

> *"You can see the financials at the FAC meeting. Um, we're not — we're trying to get this down to a business meeting, not a presentation. He's welcome to go to the FAC meeting."*
>
> **[Board Meeting ~1:05]**

This deserves scrutiny. Board meetings are public, recorded, and accessible to all property owners. FAC (Finance Advisory Committee) meetings may be less accessible or less followed by the general public. Moving financial presentation out of the board meeting — even if the data is technically available at FAC — reduces the practical transparency of financial reporting to the broader community.

The second question — whether the outside auditor had weighed in on using reserves for operational expenses — was answered by the CFO (Judy):

> *"We have not consulted the auditor on that, but... the board can make the decision how to spend the reserves."*
>
> **[Board Meeting ~1:36]**

The CFO then added: 'Your CFO would not recommend that, but you know, it does happen.' This answer was not followed up on. The question implies there may be concern in the community about whether reserves are or could be used for operational expenses — a practice that is generally considered a fiscal governance red flag. The board president did not engage with the substance of the concern.

Earlier in the meeting, when asked about the budget for the GM search process, Lackey responded to an online question with:

> *"Have you seen the budget? There's $10 million in reserves."*
>
> **[Board Meeting ~43:07]**

A board member immediately corrected this, noting the actual reserve balance is $37 million. While the misstatement was quickly corrected, citing a reserve balance as the answer to 'what will this cost?' is not a budget answer. It is a deflection. Property owners are entitled to know, at least in general terms, what the GM search process is expected to cost. No such figure was provided.

CONCERN 3: AD HOC COMMITTEE STRUCTURE — GOVERNANCE CONCERNS

The context provided by the community notes that the board has eliminated several long-standing advisory committees and created new 'ad hoc committees,' one reportedly directed by the unelected wife of a board member. While neither meeting transcript directly references this specific situation by name, several relevant observations can be made from the transcripts themselves.

3a. Ad Hoc Innovation Committee — Unvetted Chair

At the Board Meeting (~59:00–1:03), board member Joel introduced Otto, described as the chair of the 'innovative programs' ad hoc committee. Otto gave a detailed and enthusiastic presentation about new revenue programs being developed across golf, restaurants, and recreation. The programs described sound constructive.

However, no context is provided about how Otto was selected as chair. The standard for advisory committees, as the community has noted, is that committee chairs are nominated by committee members. Whether this ad hoc structure follows or bypasses that norm is not addressed in the transcript. The board praised Otto and the committee warmly without disclosing the appointment process.

3b. Food Service Marketing Sub-Committee — Board Liaison Nomination

At the Board Meeting (~1:37–1:40), board member David made a motion to appoint a resident named Mike Flank to the Food Service Advisory Committee and to authorize creation of an FSAC marketing sub-committee. David introduced the motion as follows:

> *"I thought it was a good idea, so I'm recommending to the board to do it."*
>
> **[Board Meeting ~1:38]**

David is the board liaison to the FSAC. His motion effectively has the board bypassing the advisory committee's own nomination process — the board liaison unilaterally identified a candidate and brought the motion to the full board. While David cited precedent (an electrical sub-committee created for PAC in December) and Article 6 Section 4 of the bylaws, the fact that a board member is directing who joins an advisory committee and who chairs sub-committees is precisely the type of procedural concern the community has flagged. The motion passed 7-0 without any discussion of whether the FSAC itself had been consulted about or had recommended Mr. Flank.

CONCERN 4: COMMENTS AND CONDUCT — GRANDSTANDING AND DEFLECTION

4a. 'I Won't Get Shot by the Quilters' — Tone Setting

Early in the Town Hall (~12:20), Lackey opened the Q&A period by saying:

> *"I can guarantee you the opportunity to speak as long as we're out of here by when's the quilters come? Five or whatever. I don't want to get shot by the quilters."*
>
> **[Town Hall ~12:20]**

This is a minor point, but tone matters. The president is establishing a time constraint on a meeting that is supposed to be the primary forum for property owner questions and comments. The quilters are a handy prop for making a serious governance meeting feel casual and temporary.

4b. Dismissal of Online Questioners

At the Town Hall (~2:13), an online question about the budget for the GM search process was deflected on the grounds that the questioner had not identified their name and neighborhood:

> *"I haven't answered W. And the problem that we run into is these things are published... they need to be as courteous as the people that we ask to come up here to find their name in their neighborhood."*
>
> **[Town Hall ~2:13]**

Online participants are participating within the format provided to them by the POA. Using an incomplete identifier as grounds to decline answering a budget question is a deflection. The question — 'What is the budget for this process?' — is fully legitimate regardless of who asked it.

4c. 'Pat, I Owe You a Beer' — Minimizing Serious Questions

At approximately 1:46 in the Town Hall, after resident Pat White made a comment that appeared to defend the board's confidentiality position, Lackey responded:

> *"And just to clarify, that's folks why we elect a board. This is not for citizens, residents to do. That's why we elect a board, a representative form of government. Thanks, Pat. I dug you out of that hole, didn't I? Pat, I owe you a beer."*
>
> **[Town Hall ~1:46]**

The statement 'this is not for citizens, residents to do' is an overreach. Representative government does not mean residents surrender their right to understand how their money is being spent and who is being hired to manage a $40 million operation. Lackey's comment, framing a resident's supportive statement as 'digging him out of a hole,' followed by the beer comment, reflects a casual dismissiveness of accountability that is worth flagging.

SECTION 5: POSITIVE OBSERVATIONS (FOR BALANCE)

A fair analysis must acknowledge what the board is doing well.

- The balanced scorecard initiative appears well-organized and shows measurable progress. The financial results (expenses 9% better than plan, subsidy 24% better than plan, reserve contributions 167% better than plan) are genuinely positive.
- The customer satisfaction survey initiative (86.8% overall satisfaction, exceeding the 85% goal) and the new property owner survey are legitimate transparency improvements.

- The Tanasi project management appears competent and on schedule. Project manager Scott Macrae's detailed, technical presentation was informative and responsive to questions.
- The board's commitment to benchmarking the village before rushing to hire a permanent GM reflects awareness of past mistakes (the expensive and troubled management transitions described at ~1:33–1:34 in the Town Hall).
- Lackey's direct acknowledgment of past management failures — multiple CEOs, CFOs, and the costs associated with departed executives — reflects an honest accounting of institutional challenges.
- The sale of the temporary pro shop building for $25,000 (rather than paying to have it removed) was cited as a cost-saving win and appears to be sound fiscal management.

CONCLUSION AND RECOMMENDATIONS FOR CONTINUED MONITORING

The most significant governance concern emerging from these two meetings is the GM/IEL search process — not because the board's stated goals are wrong, but because the execution has been characterized by:

- Inconsistent and contradictory explanations of the process and the proposed IEL's authority.
- Over-broad invocation of confidentiality protections, including at least one apparent misapplication (citing 'contract negotiations' before negotiations had begun).
- Refusal to share evaluation criteria that, by the board's own later admission, had not yet been finalized — undermining the stated reason for confidentiality.
- Failure to directly address the conflict-of-interest concern raised by a golf committee chairman regarding firms that evaluate and then potentially manage the village.
- No budget figure provided for a process that will occupy the board's attention for an estimated 12+ months.

Community members monitoring these proceedings should watch for:

- When and whether the board publicly discloses the identity of the selected advisory firm and IEL, and the cost of that contract.
- Whether the criteria for IEL/firm selection are ever shared, as Lackey half-committed to revealing 'after the selection is made.'
- Whether the IEL, once in place, takes actions that exceed the board's stated scope — particularly regarding staffing or organizational structure.
- Whether ad hoc committee chairs are being nominated by committee members or appointed by board liaisons.
- Whether financial presentations return to the board meeting agenda or continue to be referred exclusively to FAC.

This report will be updated following the April 2026 Town Hall and Board Meeting.